First Impressions: RBNZ Monetary Policy Review October 2026

#rbnz #newzealand

By Kelly Eckhold & Westpac New Zealand Economics

12:30 October 28 2026

Share

The RBNZ left the OCR unchanged at 2.75% (in contrast to market expectation for a hike, including ourselves).



The MPC has stuck to its strategy of pausing to assess the impact of tightening already done. There is a clear split among the MPC members on where the risks lie although it seems clear enough that higher interest rates are in the future the data evolves as the Committee expects. Key factors to focus on are data on inflation expectations, the global economy (and potential downside risks there) and the

path of fuel prices. We expect a 25 bp increase in the OCR in December to 3% and are reverting to the OCR profile we had up until mid last week. We don't think the December hike is a done deal as the data will inform the next move. We will revert with more detail after the press conference.

Key takeouts from the minutes below.

Media contact

Kelly Eckhold

Chief economist

+64 9 348 9382

+64 21 786 758

Key takeouts

Category	2 September 2026 meeting	28 October 2026 meeting
The next policy decision	Future policy decisions will depend on the Committee's judgement of the balance of risks to medium-term inflation.	Members discussed that information arriving over the next six weeks could meaningfully change the appropriate policy stance in either direction.
	Conditional on the central economic outlook, members judged that the OCR may need to increase further.	All members agreed that tighter monetary policy is likely to be required, but remains conditional on the economic outlook.
	However, the future OCR path is not pre-determined.	
The medium term direction for the OCR	The Committee judges that gradually removing monetary stimulus is appropriate to return inflation to the 2 percent target mid-point while supporting growth and employment.	Further OCR increases likely, but are conditional on the outlook

Category	2 September 2026 meeting	28 October 2026 meeting
	All members agreed that gradually removing monetary stimulus is consistent with achieving the medium-term inflation target, conditional on the outlook.	If domestic pricing pressures fail to moderate sufficiently or broaden beyond what costs and normal pass-through can explain, this could warrant further tightening.
	Conditional on the central economic outlook, members judged that the OCR may need to increase further.	On the other hand, subdued pricing pressures could require holding at future meetings.
		And if the global economy turns sharply down, materially weakening demand and the inflation outlook, this could alter the desired stance, including leading to monetary easing.
The neutral OCR		The Committee acknowledged that the neutral interest rate has a wide range of plausible estimates.
		Members noted that the increase in global long-term yields may partly signal a higher global neutral interest rate, due to higher inflation expectations, war destruction and demand for capital to support AI investment.
		Higher global interest rates could bring forward a potential global downturn, and the neutral interest rate could decline rapidly in the event of an abrupt global adjustment.

Category	2 September 2026 meeting	28 October 2026 meeting
The strength of economic activity	After lacklustre growth in the June quarter, New Zealand's economic recovery has most likely resumed but remains uneven.	The New Zealand economy continues to recover, although conditions remain uneven.
	The recovery is expected to strengthen and broaden.	The Committee noted that GDP growth was more than expected through the first half of 2026.
	The Committee assessed that growth was lacklustre in the second quarter of 2026.	Business survey measures point to continued expansion in economic activity.
	The economic recovery is expected to have resumed in the third quarter, while remaining uneven across sectors and regions.	Household consumption has been weak and the aggregate saving rate is estimated to be 3.7 percent, above the 10-year average of 1 percent.
The global economic outlook	The global economy is facing significant risks that could affect commodity prices and demand for exports.	Global growth has been resilient but is increasingly fragile given geopolitical tensions, high energy prices, financial stresses, and surging AI-related investment.
	Despite recent geopolitical events, economic growth in New Zealand’s trading partners has remained resilient and the outlook has improved.	The Committee assessed that there are significant risks to the global economic outlook.

Category	2 September 2026 meeting	28 October 2026 meeting
	Although risks to the global economy remain heightened, the Committee expects global economic conditions to remain favourable for New Zealand’s export facing businesses over the medium term.	The Committee noted that a global downturn could occur abruptly.
The labour market	Conditions in the labour market should improve as the recovery gathers pace.	Employment growth remains subdued and higher prices will further reduce real incomes and purchasing power.
	Employment growth has not been sufficient to fully absorb new entrants into the labour market and unemployment is elevated, particularly in Auckland and Wellington and for youth and the long-term unemployed.	Employment intentions remain weak, pointing to continued slow recovery in the labour market.
	The labour market is expected to slowly improve, with employment growing and unemployment falling as the economy recovers.	To date, wage growth has been subdued, and medium-term inflation expectations have remained stable.
	On balance, the Committee assesses that spare capacity remains in the economy, particularly in the labour market.	

Category	2 September 2026 meeting	28 October 2026 meeting
The short term inflation outlook	Inflation increased to 4.1 percent in the June quarter because of higher fuel prices arising from the conflict in the Middle East.	Annual inflation is expected to increase to 4.4 percent in the December quarter, largely reflecting current futures prices for fuel.
	The Committee expects inflation to remain elevated this year before returning to the target band by mid-2027 and reaching the 2 percent mid-point later next year.	Near-term inflation forecasts are uncertain given volatility in prices for oil and refined fuels.
		Direct effects of higher fuel prices will drop out of the annual inflation calculation in late 2027 if prices for refined petroleum products stabilise or fall.
The medium term inflation outlook	Core inflation, expected wage growth, and inflation expectations remain consistent with inflation returning to the 1 to 3 percent target band by mid-2027 and the 2 percent target midpoint later next year.	The Committee is focused on returning inflation to the 2 percent target mid-point over the medium term, discounting temporary disturbances to inflation and avoiding unnecessary economic instability.
	Longer-term inflation expectations remain near 2 percent, while most measures of one and two-year-ahead inflation expectations have fallen since May.	Impacts on shortterm pricing behaviour appear to have been contained and medium-term inflation expectations remain well anchored.
	Currently, indicators of medium-term inflation are consistent with inflation returning to target.	But the longer inflation remains high, the greater the risk of higher costs feeding into inflation expectations and price- and wage-setting behaviour, making inflation more persistent.

Category	2 September 2026 meeting	28 October 2026 meeting
The balance of risks for economic growth and inflation	New Zealand’s economic recovery could be stronger or weaker than expected and price pressures could generate more persistent inflation.	New Zealand’s recovery could be stronger than expected but could also lose momentum if the global environment deteriorates or export strength does not flow through to jobs, incomes and household spending.
	Consumption growth could be subdued if employment and house price growth remain weak, or if precautionary behaviour persists.	There is a risk that inflation becomes entrenched before conventional expectations measures respond, despite the previous two OCR increases.
	Alternatively, consumption growth could be stronger and absorb spare capacity faster than currently anticipated.	In addition, the world economy could tip abruptly into a downturn causing weaker inflation over the medium term.
	All members agreed that downside risks to activity were significant and that the recovery could remain uneven.	It is also possible that geopolitical escalation could drive fuel prices higher while weakening global economic activity at the same time.
Key arguments advanced by more hawkish MPC members	Hayley Gourley, Karen Silk, Prasanna Gai and Anna Breman saw upside risks to inflation relative to the central projection.	Hayley Gourley, Paul Conway and Karen Silk favoured increasing the OCR by 25 basis points at this meeting.

Category	2 September 2026 meeting	28 October 2026 meeting
	These members observed that more persistence in energy and petrochemical prices could raise near-term inflation risks, impact price-setting behaviour, and lead to more sticky inflation over the medium term.	These members emphasised that core inflation has been above levels consistent with headline inflation at the target mid-point for some time.
	Price-setting can be a front-loaded process, meaning businesses could raise domestic prices more than import costs warrant.	This increases the risk of inflation becoming entrenched in price-setting behaviour as the conflict and its consequences endure, including through higher freight and shipping costs.
	These factors increase the risk that monetary policy needs to lean against broader inflation pressures.	Acting now would guard against sustained inflation pressures and potentially reduce the risk of needing to do more with interest rates later.
Key arguments advanced by more dovish MPC members in each meeting	Paul Conway and Carl Hansen saw risks to inflation as balanced.	Anna Breman, Carl Hansen, Rebecca Williams and Prasanna Gai favoured holding the OCR at this meeting as two recent OCR increases allow the Committee to take further time to assess their effects and economic developments.
	These members shared concerns that high inflation could become embedded through price-setting behaviour.	Actual inflation was lower than expected, reflecting smaller indirect effects of higher fuels prices, and medium-term inflation expectations and wage growth remain consistent with returning inflation to the target mid-point.

Category	2 September 2026 meeting	28 October 2026 meeting
	But weighed against this, they saw activity risks as skewed to the downside and noted that these could weigh on inflation.	These members emphasised the risk of a weak recovery, particularly in household consumption and investment.
	They highlighted the potential effects of weak house prices and precautionary behaviour, weakening growth in household spending.	They favoured pausing at this meeting to observe and assess demand and financial conditions.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#rbnz

Preview of RBNZ October 2026 Monetary Policy Review

October 22 2026 • 3 mins

By Kelly Eckhold



#rbnz

Restoring the RBNZ’s dual mandate: mechanics and possible implications

September 16 2026 • 2 mins

By Darren Gibbs, Kelly Eckhold, Michael Gordon & 1 more



#rbnz

RBNZ September 2026 Monetary Policy Statement

September 02 2026 • 3 mins

By Kelly Eckhold

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #semigovernment #inflation #rba #basis #commodities #ustreasury #fx #jpy #rbnz #abs Show more tags

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied of distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.